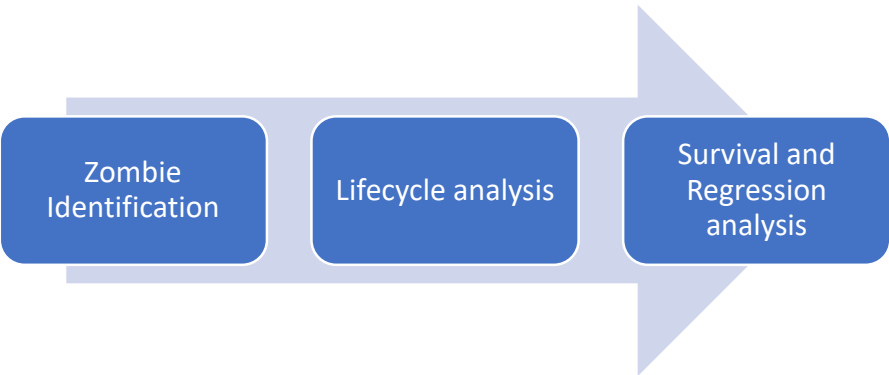


Zombie Firms in Emerging Markets: Survival and Funding Mechanisms in the Indian Context



Conclusion: Zombie firms account for a small share of firms but hold a disproportionately large share of corporate debt and assets. Financing structure plays an important role in zombification, persistence, recovery, and relapse dynamics.

- Financial Deterioration
- Zombie Status
- Persistence
- Recovery
- Relapse

	Bank Funding	Equity Funding
Zombie Risk	↑	↓
Persistence	↑	↓
Recovery	↓	↑
Relapse	↑	↓

Policy Implications: Stronger credit monitoring, better lender coordination, faster restructuring and insolvency resolution and improved credit discipline.